PART A

Case Study: UPI/Online Payment Fraud

The UPI fraud is a common form of cybercrime, in this the attackers trick the users to authorise payments or give them sensitive banking details. Indicatively, this type of fraud increased in recent years, as IT is an enabler and facilitator for the proliferation of digital payment applications.

The common method of starting this scam is, the fraud calls or sends an SMS or messaging app pretender as from a bank official and customer service even buyer/seller. First, they try to get you to act quickly by claiming that your user account has a problem or that billing offers are too good to miss. Second, they issue a “collect request” or ask the victim to scan what appears to be a QR code. Third, they ask the victim to feedhis UPI PIN claiming it is needed for receiving money. In fact, entering the PIN authorizes a payment from the victim’s account to the scammer.

UPI/Fake Payment Fraud — Working explanation.

1. A scammer contacts a victim via a call, SMS, or messaging app.
2. They impersonate a trusted individual such as a bank official, customer support agent, buyer/seller etc.
3. They are high demand or enticing by saying they have a problem or making a deal.
4. The scammer then sends a collect request or shares a QR code.
5. Victim new screen appears, enter their UPI PIN.
6. As soon as the PIN is entered, money is withdrawn from the victim’s account.
7. The scammer vanishes — or blocks the victim.

Be it students,older persons and those who don’t know any UPI system are targeted more. Scammers take advantage of the difference between “sending” and “receiving” money.

The consequences for that kind of fraud can be severe. Those who fall prey can lose significant amounts of money in seconds, often with little chance of recovering it. It can have depressive symptoms and loss of trust in digital channels, as well as finantial insolvency. Victims can also unintentionally disclose personal data that can target them for follow-up scams.

However, this case also serves as a reminder of digital literacy and the need to be aware and cautious when using online payment system.